

LEADREACH AI CORP.

Programmatic 15–20% Employee Option Pool Allocation Plan

2026 Equity Incentive Plan

CAPITALIZATION OVERVIEW



EFFECTIVE DATE	June 1, 2026
POOL SIZE	1,500,000 shares (15% fully diluted)
ADMINISTRATOR	Board of Directors / Compensation Committee
PLAN TYPE	Incentive Stock Options (ISO) & Non-Qualified Stock Options (NSO)
CLASSIFICATION	Confidential — Investor-Facing

SECTION 1

Plan Overview

Plan Name: LeadReach AI Corp. 2026 Equity Incentive Plan

Effective Date: June 1, 2026

Pool Size: 15% of fully diluted capitalization (1,500,000 shares reserved from authorized but unissued Common Stock, based on 10,000,000 total authorized shares)

Plan Administrator: Board of Directors or Compensation Committee

Plan Purpose: To attract, retain, and motivate key employees, advisors, and consultants by providing equity ownership opportunities aligned with the Company's long-term growth objectives

SECTION 2

Capitalization Table (Post-Series Seed-1)

Security	Shares	% Fully Diluted
Common Stock (Founder)	5,000,000	50.0%
Series Seed-1 Preferred	1,369,863	13.7%
Option Pool (2026 Plan)	1,500,000	15.0%
Unissued Authorized	2,130,137	21.3%
Total Fully Diluted	10,000,000	100.0%

SECTION 3

Option Pool Allocation Strategy

Allocation Category	Pool %	Shares	Purpose
Executive Leadership	25%	375,000	VP Engineering, VP Sales, Head of Product
Senior Engineering	30%	450,000	Senior/Staff Engineers, ML Engineers
Product & Design	10%	150,000	Product Managers, Designers
Sales & Marketing	15%	225,000	AEs, SDRs, Marketing Leads
Customer Success & Ops	5%	75,000	CS Managers, Operations
Board Discretionary Pool	10%	150,000	Special hires, retention grants
Advisor Pool	5%	75,000	Technical and business advisors

Allocation Category	Pool %	Shares	Purpose
TOTAL	100%	1,500,000	—

SECTION 4

Vesting Schedule

- **Standard Vesting:** 4-year vesting with 1-year cliff, then monthly vesting
- **Cliff:** 25% of granted shares vest on the 1-year anniversary of the grant date
- **Monthly Vesting:** After the cliff, remaining shares vest in equal monthly installments over the next 36 months
- **Acceleration:** Double-trigger acceleration upon change of control (termination within 12 months post-acquisition)
- **Good Leaver Provisions:** Accelerated vesting for involuntary termination without cause

SECTION 5

Grant Size Guidelines

Role Level	Grant Range (% of Fully Diluted)	Example (Shares)	Example Value at \$2.50/share
VP / C-Level	0.50% – 2.00%	50,000 – 200,000	\$125,000 – \$500,000
Senior / Staff	0.15% – 0.50%	15,000 – 50,000	\$37,500 – \$125,000
Mid-Level	0.05% – 0.15%	5,000 – 15,000	\$12,500 – \$37,500
Junior	0.02% – 0.05%	2,000 – 5,000	\$5,000 – \$12,500
Advisor	0.05% – 0.25%	5,000 – 25,000	\$12,500 – \$62,500

SECTION 6

Exercise Price & Terms

- **Exercise Price:** Fair Market Value (FMV) at date of grant, as determined by the Board based on independent 409A valuation
- **Exercise Period:** 10 years from grant date (or 90 days post-termination for employees)
- **Early Exercise:** Not permitted under this Plan
- **Cashless Exercise:** Permitted subject to Board approval
- **Transfer Restrictions:** Options are non-transferable except by will or laws of descent

SECTION 7

Dilution Protection

The Option Pool is established pre-money (included in the pre-money capitalization), meaning that Series Seed-1 investors share in the dilution from the option pool. Future financing rounds may require pool refreshes:

Round	Pool Refresh	Dilution Impact
Series A (projected Month 18–24)	Increase to 15% of post-money	~3–5% dilution to existing holders
Series B (projected Month 30–36)	Maintain at 12–15% of post-money	~2–3% dilution to existing holders

SECTION 8

Tax Considerations

- **Incentive Stock Options (ISOs):** Available for employees only, maximum \$100,000 annual vesting limit
- **Non-Qualified Stock Options (NSOs):** Available for all participants, including advisors and consultants
- **83(b) Election:** Participants should consult tax advisors regarding 83(b) elections for early stock purchases
- **409A Compliance:** The Company shall obtain annual independent 409A valuations to ensure exercise prices comply with fair market value requirements

SECTION 9

Year 1 Grant Projections

Quarter	New Hires	Projected Grants	Shares Reserved
Q3 2026	8	8 initial grants	280,000
Q4 2026	6	6 initial grants	180,000
Q1 2027	8	8 initial + 3 refresh	340,000
Q2 2027	6	6 initial + 2 refresh	240,000
Year 1 Total	28	33 grants	1,040,000
Remaining Pool	—	—	460,000 (30.7% reserve)

SECTION 10

Governance & Administration

- **Plan Administrator:** Board of Directors, with authority to delegate to Compensation Committee
- **Grant Approval:** All option grants must be approved by the Board or Compensation Committee
- **Amendment:** Plan may be amended by Board vote; amendments requiring stockholder approval under applicable law shall be submitted for stockholder approval
- **Termination:** Plan terminates 10 years from effective date unless earlier terminated by the Board

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- **Reporting:** Quarterly grant activity reports to the Board; annual pool utilization review

Approved and adopted by the Board of Directors of LeadReach AI Corp. on June 1, 2026.

Director Signature

Director Signature

Date

Date